



State of Florida Auditor General



Charles L. Lester, CPA, Auditor General

August 25, 1997

Operational Audit of the Florida Department of Health and Rehabilitative Services' Financial Settlement of the FLORIDA System Contract With Electronic Data Systems (EDS)

Scope and Objectives

The Auditor General, as part of the Legislature's oversight responsibility for operations of State agencies, performs audits related to specific topics of interest or concern to the State and Federal Governments. Accordingly, the scope of this audit focused primarily on the Department's financial settlement of the Florida On-line Recipient Integrated Data Access (FLORIDA) System contract with Electronic Data Systems (EDS). Our audit included examinations of various transactions and Department actions related to the financial settlement of the FLORIDA System contract with EDS to determine whether they were executed, both in manner and substance, in accordance with governing provisions of laws, administrative rules, and other guidelines.

Our objectives were:

1. To document our understanding of the components of internal control sufficient to understand the design of controls relevant to the financial settlement of the FLORIDA System contract with EDS, determine whether they have been placed in operation, and assess control risk. Our purpose in obtaining an understanding of internal control and assessing the level of control risk was to determine the nature, timing, and extent of substantive tests and procedures to be performed.

2. To evaluate the Department's performance in administering its assigned responsibilities in accordance with applicable laws, administrative rules, and other guidelines. Specifically:

- To determine that costs included in the financial settlement and requested for Federal reimbursement were not duplicative of expenditures previously reimbursed by the Federal Government.
- To determine that costs included in the financial settlement were for activities that were previously approved by the Federal Government through the Advanced Planning Document process.

Background

The FLORIDA System is a computerized information system that provides information and processing functions for the State's public assistance and child support enforcement programs. In May 1989, the Florida Department of Health and Rehabilitative Services (name changed to the Florida Department of Children and Family Services, effective January 1, 1997) entered into a contract with EDS for the development and implementation of the FLORIDA System. During the course of the contract, various problems were encountered and disputes arose. On May 31, 1992, EDS turned the system over to the Department and on August

21, 1992, EDS filed suit against the Department seeking payment for contract deliverables and damages. On September 21, 1993, the Department counter-sued EDS for failure to perform under the terms of the contract.

The case was tried before a special master and based on the Special Master Final Report, the Circuit Court of the Second Judicial Circuit, Leon County, Florida, issued a Final Judgment for EDS on March 22, 1996. On April 30, 1996, the State of Florida entered into a settlement agreement with EDS which required the Department to pay \$42,800,000 for the following:

- \$19,446,676 - District Equipment
- \$13,188,325 - Central Processing Equipment
- \$3,270,545 - Federal Certification
- \$1,078,602 - Computer Usage Charges
- \$(229,413) - Child Support Enforcement Programming
- \$1,517,000 - Liquidation Damages
- \$4,528,265 - Negotiated Costs

To determine the portion of the settlement costs available for reimbursement by the Federal Government, the Department developed a methodology that allocated \$38,271,735 (\$42,800,000 - \$4,528,265 negotiated costs) between the State and the United States Department of Health and Human Services (USDHHS) and the United States Department of Agriculture (USDA). On April 9, 1996, the Department submitted requests for approval to the USDHHS and the USDA that included the Department's allocation methodology. The Department requested Federal reimbursement for the settlement costs on various reports submitted to the Federal Government during the period July 10, 1996, through April 4, 1997. The following table presents a summary of the allocated settlement costs.

Settlement Agreement	State of Florida	Federal Government						
		Total	USDA	USDHHS				
			Food Stamps	AFDC (1)	Medicaid	CSE (2)	Refugee	Title IV-E (3)
Count I - District Equipment	\$ 8,530,753.31	\$ 10,915,922.69	\$ 2,845,855.75	\$ 2,268,196.57	\$ 2,877,526.92	\$ 2,779,427.43	\$ 139,475.21	\$ 5,440.81
Count II - CPC Equipment	6,066,804.87	7,121,520.13	1,918,654.36	1,180,972.02	1,954,428.69	1,956,882.64	105,922.48	4,659.94
Count III - Federal Certification	1,486,753.05	1,783,791.95	501,624.94	490,826.52	230,284.63	512,503.54	48,552.32	-
Count IV - Computer Usage Charges	926,230.36	152,371.64	36,951.01	31,120.12	16,249.15	65,936.14	2,115.22	-
Count V - CSE Programming	(78,000.42)	(151,412.58)	-	-	-	(151,412.58)	-	-
Count VI - Liquidation Damages	675,287.39	841,712.61	217,785.79	197,516.37	99,652.53	311,234.23	15,523.69	-
Total	\$ 17,607,828.56	\$ 20,663,906.44	\$ 5,520,871.85	\$ 4,168,631.60	\$ 5,178,141.92	\$ 5,474,571.40	\$ 311,588.92	\$ 10,100.75

(1) Aid to Families with Dependent Children Program

(2) Child Support Enforcement Program

(3) Foster Care Program

Findings

Federal Approval of Contract Expenditures

The Department did not request Federal Government approval of the specific amount of computer usage charges prior to the April 9, 1996, request for approval of the entire settlement.

Count IV of the settlement required the Department to pay EDS \$1,078,602 for computer usage related to 50 Customer Service Requests (CSRs). The Department's allocation of this amount resulted in requests for Federal reimbursement totaling \$152,372.

The Department provided documentation for our review, which indicated that the Federal Government approved the original contract and subsequent amendments that addressed the concept of payment for computer usage. Additionally, the Department had included the 50 CSRs in Advanced Planning Document Updates (APDUs). The Department used APDUs to notify the Federal Government of modifications to the contract and obtain approval for Federal participation of costs associated with the modifications. We noted, however, that due to the disputed ownership of the CPC equipment, the Department excluded the amount of computer usage charges in the APDUs submitted prior to April 9, 1996. Therefore, the \$1,078,602 of computer usage charges included in Count IV of the settlement had not been submitted to and approved by the Federal Government prior to the April 9, 1996, requests for approval of the entire settlement agreement.

The Department was not able to document that Federal approval was obtained through the APDU process for \$2,089 of district equipment.

Count I of the settlement agreement required the Department to pay EDS \$19,446,676 for district equipment. The Department's allocation of this amount resulted in requests for Federal reimbursement totaling approximately \$10,915,923. According to Department records, in addition to the \$19,446,676 paid in accordance with the settlement agreement, the Department paid \$3,713,085 for district equipment prior to the settlement agreement. Therefore, the Department made payments for district equipment totaling \$23,159,761.

Upon our inquiry, the Department provided documentation that indicated that the Federal Government had approved \$23,157,672 of district equipment, but acknowledged that \$2,089 was not approved prior to the Department's April 9, 1996, requests for approval of the entire settlement agreement.

Request for Federal Reimbursement

The Department's final allocation of the settlement resulted in the Department requesting Federal reimbursement from the Food Stamp Program for \$1,806 more than the amount that was approved by the USDA, based on the Department's preliminary allocation.

In an APDU, dated April 9, 1996, the Department requested Federal approval of the settlement agreement and the Department's proposed methodology for allocating the settlement amounts. The APDU included documentation that indicated that the settlement costs for central processing (CPC) equipment were to be allocated among Federal programs based on approved quarterly percentages for FLORIDA System costs. The documentation further indicated that for the period January 1996 through September 1996, the costs included in the APDU were allocated using percentages based on the quarter ended December 1995, as costs for January 1996 through September 1996 had not yet occurred. In a letter dated May 2, 1996, the USDA provided conditional approval for the Food Stamp Program to participate in the FLORIDA contract settlement costs at an amount not to exceed \$5,519,197. Of the \$5,519,197, the USDA approved \$335,451 for Federal fiscal year 1995-96. Our tests disclosed that based on the Department's final allocation schedule the Department requested reimbursement for settlement costs of \$337,257, \$1,806 more than the amount approved by the USDA. In response to our inquiry, the Department indicated that the \$1,806 was the difference between the projected depreciation costs and the actual depreciation costs based on actual allocation statistics for the period January 1996 through September 1996.

The Department's requests for reimbursement of settlement costs from the Federal Government totaled approximately \$13,000 less than the amount that could have been requested based on the Department's allocation methodology.

As previously discussed, to determine the portion of the settlement costs available for reimbursement by the

Federal Government, the Department developed a methodology that allocated \$38,271,735 between the State and the Federal Government. On April 9, 1996, the Department requested approval from the Federal Government of the amounts allocated and the allocation methodology used by the Department. During our tests of the Department's allocation of settlement costs, we noted four instances in which, due to errors and/or inconsistent application of the Department's allocation methodology, the Department's requests for reimbursement of settlement costs were approximately \$13,000 less than the amount that could have been requested. Details of these four instances have been provided to Department personnel.

Department Property Records

The Department did not maintain adequate property records related to the property obtained through the contract.

OMB Circular A-87, "Cost Principles for State and Local Governments," requires that adequate property records be maintained in order to support charges to Federal programs. In its April 9, 1996, requests to the Federal Government for approval of the settlement agreement, the Department indicated that all hardware and software obtained through the contract would be recorded in the State Automated Management Accounting Subsystem (SAMAS) Property Subsystem. Our review of the Department's SAMAS Property Subsystem records disclosed the following:

- The Department's allocation of the \$19,446,676 settlement amount for district equipment resulted in requests for Federal reimbursement totaling \$10,915,923. As previously noted, total payments made by the Department to EDS for district equipment equaled \$23,159,761. Department personnel were not able to identify in the SAMAS Property Subsystem \$9,524,837 of district equipment obtained through the contract. According to documentation provided for our review, \$2,138,814 of the \$23,159,761 represented payments for software which, in accordance with Department policy, is not recorded in the SAMAS Property Subsystem. Department personnel further indicated that the Department is attempting to reconstruct manual records and perform physical inventories to identify the district equipment received through the contract and reconcile to the SAMAS Property Subsystem.

- Count II of the settlement required the Department to pay EDS \$13,188,325 for central processing (CPC) equipment. The Department's allocation of this amount resulted in requests for Federal reimbursement totaling \$7,121,520. The settlement amount represented payment for original mainframe equipment that was obtained through the EDS contract. However, the equipment was determined to be inadequate and replaced prior to the settlement agreement. Department management indicated that since the Department did not pay for the CPC equipment prior to the settlement agreement, the equipment was not recorded in the SAMAS Property Subsystem. We noted that the Department did record the replacement CPC equipment in the SAMAS property records.

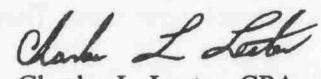
Conclusions and Recommendations

The results of our tests of compliance indicated that, with respect to the items tested, the Department had generally complied with the significant provisions of laws, administrative rules, and other guidelines. Specifically, other than noted above:

- Costs included in the financial settlement and requested for Federal reimbursement were not duplicative of expenditures previously reimbursed by the Federal Government and
- Costs included in the financial settlement were for activities that were previously approved by the Federal Government through the Advanced Planning Document process.

We recommend that the Department review the above findings with representatives of the Federal Government to determine appropriate resolution. Additionally, the Department should continue its efforts in determining the accuracy of the SAMAS Property Subsystem records related to property obtained through the FLORIDA System contract with EDS.

Respectfully submitted,


Charles L. Lester, CPA
Auditor General

Agency Response

The Secretary's written response to the audit findings and recommendations included in audit report No. 13043 presented the following general statements:

"... Most of the deficiencies identified in the report have been corrected, or are in the process of being resolved. Additional corrective action plans will be developed and monitored until all deficiencies have been corrected...."

The following presents the Secretary's written response to the individual audit findings and recommendations included in audit report No. 13043:

The Department did not request Federal government approval of the specific amount of computer usage charges prior to the April 9, 1996 request for approval of the entire settlement.

RESPONSE:

This is a correct finding. The department did not include these costs in previous Advanced Planning Document Updates based on ownership of the central processing equipment. The Special Master concluded in his Final Report and Recommendations, that the department was responsible for these costs regardless of ownership based on the department's contract with Electronic Data Systems that included computer usage charges be billed at rates established under the terms of the contract. The contract and the billing rates were approved by the federal agencies, although no actual costs for the computer usage was requested for approval prior to submission of the April 9, 1996 Advanced Planning Document Update for the settlement costs. Of the total \$1,078,602 for these charges included in the final judgment, \$152,372 was submitted in the April 9, 1996 Advanced Planning Document Update for Federal Financial Participation. These costs were approved by the federal agencies in their approval of the Advanced Planning Document Update.

The Department was not able to document that Federal approval was obtained through the APDU process for \$2,089 of district equipment.

RESPONSE:

This is a correct finding. The federal agencies have indicated that no adjustment to the department's claim for federal funding participation is necessary since the

costs were included in the settlement costs which were approved in the April 9, 1996 Advanced Planning Document Update and the amount is not material.

The Department's final allocation of the settlement resulted in the Department requesting Federal reimbursement from the Food Stamp Program for \$1,806 more than the amount that was approved by the USDA, based on the Department's preliminary allocation.

RESPONSE:

In the narrative of the FLORIDA Electronic Data Systems Settlement Advanced Planning Document Update submitted for federal approval, the department stated that the projected depreciation costs for the Central Processing equipment and software for the period January 1996 through September 1996, were allocated using the allocation percentages for the period October 1995 through December 1995. The department also stated in the narrative that these costs would be claimed based on the actual allocation percentages for the January 1996 through September 1996 period. This resulted in the Food Stamp Program claim being in excess of the Advanced Planning Document Update approval in the amount of \$1,806, but this also resulted in a decrease in the claims for these costs against the other funding sources in the same amount. The federal agencies were aware that this would occur and no adjustments to the department's claims for federal funding of these costs are necessary.

The Department's requests for reimbursement of settlement costs from the Federal government totaled approximately \$13,000 less than the amount that could have been requested based on the Department's allocation methodology.

RESPONSE:

The department concurs with this finding. Since the federal share of funding for the settlement costs was requested and approved in the FLORIDA Electronic Data Systems Settlement Advanced Planning Document Update, the department cannot submit claims for federal funding for these costs in excess of the amount approved in the Advanced Planning Document Update. No claim for these costs that exceed the amount previously approved for federal funding in the Advanced Planning Document Update will be submitted by the department.

The Department did not maintain adequate property records related to the property obtained through the contract.

RESPONSE:

The department maintained property records within the SAMAS Property Subsystem, but entries related to property items originally obtained pursuant to the Electronic Data Systems contract were not entered

initially, pending a decision by the then existing management team to wait until payment to Electronic Data Systems had been made on the contract. Once litigation began, no entries were made for property items acquired from the contract between April 1992 and May of 1995. Subsequently, efforts have been and are being made to identify property items acquired during the prior period and necessary adjusting entries will be made into the SAMAS Property Subsystem.

This audit was conducted in accordance with generally accepted auditing standards and *Governmental Auditing Standards* issued by the Comptroller General of the United States. This report is intended for the information of the Legislative Auditing Committee, members of the Florida Senate and the Florida House of Representatives, agencies of the Federal Government, and applicable management. Copies of this report are available pursuant to Section 11.45(7), Florida Statutes, and its distribution is not limited.

Audit Supervised by: Marcia E. Maheu

Audit Conducted by: Karen Van Amburg